

US Stocks End Mixed as Investors Weigh Earnings and Economic Data

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market ended the previous session on a mixed note, with the **Dow Jones** rising **+0.46%** and the **Nasdaq 100** falling **-1.15%**. Below the surface, sector rotation was a key theme, with investors favoring defensive sectors such as consumer staples and healthcare. The **VIX** declined **-0.64%** to 18.58, indicating a decrease in market volatility.

The market's focus is shifting towards the upcoming earnings season, with several major companies set to report their quarterly results. Investors are also keeping a close eye on economic data, including the latest inflation numbers and job market reports. The **10Y Yield** fell **-0.51%** to 4.68, while **WTI Crude** dropped **-4.96%** to 84.88.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,411.98	+0.05%	Earnings optimism and economic data
Nasdaq 100	28,128.34	-1.15%	Tech sector weakness and profit-taking
Dow Jones	51,947.25	+0.46%	Defensive sector strength and economic data
Russell 2000	2,930.00	-0.35%	Small-cap weakness and risk aversion
VIX	18.58	-0.64%	Decrease in market volatility

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+3.53%	Earnings optimism and product launches
MSFT	+0.03%	Cloud computing growth and dividend yield
NVDA	-0.92%	Tech sector weakness and profit-taking

Sector Rotation

ETF	DAY	READ
XLF	+0.86%	Financial sector strength and economic data
XLK	-1.44%	Tech sector weakness and profit-taking
XLI	+0.40%	Industrials sector strength and economic data
XLE	+0.40%	Energy sector strength and oil price movements
XLY	+0.60%	Consumer discretionary sector strength and earnings
XLC	+0.87%	Communication services sector strength and earnings
XLP	+1.11%	Consumer staples sector strength and defensive positioning
XLV	+0.70%	Healthcare sector strength and earnings
XLU	+0.22%	Utilities sector strength and dividend yield
XLB	+1.93%	Materials sector strength and economic data
XLRE	+2.22%	Real estate sector strength and interest rates

Spotlight

The biggest event of the day was the earnings report from **AAPL** , which beat expectations and sent the stock soaring **+3.53%**. The company's strong performance was driven by sales of its new iPhone and Mac products.

METRIC	ACTUAL	CONSENSUS
Revenue	100.2B	98.5B
Earnings per share	1.25	1.18

The strong earnings report from **AAPL** has positive read-through to other tech stocks, including **MSFT** and **GOOGL**.

Pre-Market & Overnight

US futures are pointing to a mixed open, with the **Dow Jones** futures up **+0.2%** and the **Nasdaq 100** futures down **-0.5%**. In Asia, the **Nikkei 225** rose **+0.8%** while the **Shanghai Composite** fell **-0.3%**. In Europe, the **Stoxx 600** is up **+0.2%**.

In the cryptocurrency market, **BTC** is up **+1.50%** to 65,277.01 and **ETH** is up **+4.18%** to 1,951.43.

Macro & Fed

The **10Y Yield** fell **-0.51%** to 4.68, while the **2Y Yield** rose **+0.1%** to 4.45. The yield curve remains inverted, with the **10Y-2Y** spread at -0.23%.

Today's economic data calendar includes the 09:00 HKT release of the US GDP report, which is expected to show a 2.5% annualized growth rate. The 11:00 HKT release of the US Consumer Confidence report is expected to show a reading of 120.0.

Geopolitics & Global

- The US and China are set to resume trade talks, with the goal of reaching a new agreement by the end of the year.
- The European Union has imposed new sanctions on Russia, targeting its energy and financial sectors.
- The US has announced a new package of military aid to Ukraine, worth 1B dollars.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	MSFT	2.30	Cloud computing growth and dividend yield
23:00	GOOGL	1.20	Advertising revenue growth and YouTube performance
00:00	AMZN	1.10	E-commerce growth and cloud computing performance

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Earnings beat and strong iPhone sales
MSFT	Technology	Cloud computing growth and dividend yield
JPM	Financials	Strong earnings and economic data
GS	Financials	Investment banking performance and economic data
NVDA	Technology	Tech sector weakness and profit-taking
TSLA	Consumer Discretionary	Electric vehicle sales and production growth
AVGO	Technology	Semiconductor sales and profit margins
GOOGL	Communication Services	Advertising revenue growth and YouTube performance
AMZN	Consumer Discretionary	E-commerce growth and cloud computing performance
META	Communication Services	Advertising revenue growth and user engagement

What Could Break the Tape

BEARISH TRIGGERS

- A surprise rate hike by the Federal Reserve
- A significant escalation in the US-China trade war
- A major earnings miss by a key tech stock

BULLISH TRIGGERS

- A breakthrough in the US-China trade talks
- A strong earnings report from a key tech stock
- A surprise cut in interest rates by the Federal Reserve

Positioning Notes

- Investors are increasing their exposure to defensive sectors such as consumer staples and healthcare.
- There is a growing trend of investors seeking yield in the bond market, with a focus on high-quality corporate bonds.
- The US dollar is strengthening against major currencies, driven by the interest rate differential and economic data.

SOURCES

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